

BORROWING ENTITY

Vertex Dynamics Corp.

4820 Harborview Drive, Suite 300
Chicago, IL 60601

Industry: Manufacturing & Industrial Equipment

Entity Type: Delaware C-Corporation

Established: 2009

Tax ID: VDC-TXN-8847321

CREDIT REQUEST SUMMARY

Facility Type	Term Loan
Requested Amount	\$8,500,000
Proposed Tenor	7 Years
Proposed Rate	SOFR + 285 bps
Collateral Type	Real Estate / Equipment
Guarantor	James R. Hallowsay
Relationship Mgr.	Sophie L. Chen
Credit Officer	Marcus T. Wren

✓ **RECOMMENDATION: CONDITIONAL APPROVAL** Internal Risk Rating: **3B** — Acceptable Risk

Approval Authority: **Senior Credit Committee**

Executive Summary

Vertex Dynamics Corp. (“VDC” or the “Borrower”) is requesting a \$8.5 million senior secured term loan to fund the acquisition of advanced CNC machining equipment and the expansion of its primary manufacturing facility in Chicago, Illinois. VDC is a mid-market manufacturer of precision industrial components serving aerospace, defense, and automotive OEM customers. The company has demonstrated consistent revenue growth averaging 11.4% annually over the past four fiscal years, supported by long-term supply agreements with three investment-grade counterparties.

The credit analysis team finds the request within acceptable risk parameters subject to compliance with the financial covenants outlined in Section 7. The primary credit considerations are the borrower’s adequate debt-service coverage, strong management tenure, and the tangible collateral base, partially offset by moderate leverage and exposure to cyclical end-markets.

Key Financial Indicators — FY2024 (Projected)